

a single model that eclipses its global peers. The more plausible and perhaps more consequential scenario is one in which AI becomes like a utility across sectors: diagnosing patients in district hospitals, advising farmers in their dialects, helping small businesses manage credit and making government services more responsive.

India needs to demonstrate that intelligence can be affordable, inclusive, and resilient at population scale. If 2026 marks the year that vision begins to harden into infrastructure, the leap may be less spectacular than in the US or China but no less transformative.

Even as Indian IT resets course and India showcases its AI plan, the threat of an AI bubble looms large on the global stage. Global institutions such as Goldman Sachs, JPMorgan Chase, the International Monetary Fund and the Bank of England have flagged risks around market concentration and stretched valuations, drawing uneasy parallels to the dot-com era.

Yet history suggests that bubbles, especially those around transformative technologies, are rarely simple tales of rise and fall. "AI adoption is accelerating rap-

are often "front-loaded" in forecasts. If a correction comes, Vasu expects it to be selective rather than systemic, playing out over 2026–27 as investors scrutinise revenue visibility, enterprise RoI, and infrastructure utilisation, rather than a sudden crash.

The most recent parallel is the dot-com bubble around the turn of the millennium. Capital flooded into internet companies with little more than a website and a slogan. When the bubble burst, billions of dollars in market value evaporated. Yet out of that wreckage emerged durable giants—search engines, e-commerce platforms, Cloud providers—that reshaped the global economy.

"Once the dot-com bubble settled, it cleared the way for real businesses to emerge," says Mahesh Makhija, Partner and Technology Consulting Leader at EY India. "AI is likely to follow a similar path."

Arjun Rao, Founding Partner at Speciale Invest, views today's AI investments as long-cycle infrastructure bets rather than speculative froth. "This feels more like the early internet or Cloud era. Large early investments are needed, and they get consumed over a decade

34 |

"IN THE CURRENT PHASE OF GENERATIVE AI, VALUATIONS IN SOME SEGMENTS ARE AHEAD OF NEAR-TERM MONETISATION, WHILE PROMISED PRODUCTIVITY GAINS ARE FRONT-LOADED"

idly, and global investments from tech giants, start-ups and enterprises are creating tremendous excitement," says Arjun Nagulapally, Chief Technology Officer at AIONOS, an AI venture co-founded by technology veteran CP Gurnani and IndiGo Airlines Co-founder Rahul Bhatia. "I wouldn't call it a classic bubble yet, but some valuations are ahead of actual business outcomes," he adds.

Unlike speculative manias driven purely by narrative, AI is already being deployed across enterprises. Large enterprises in India are typically allocating 5–10% of IT budgets to AI today. The spending is concentrated in automation, predictive analytics, customer experience, and early generative AI use cases.

Vasu of UearthInsight says, "When a general-purpose technology emerges, capital tends to overestimate short-term returns and underestimate the long-term impact." In the current phase of generative AI, valuations in some segments are running well ahead of near-term monetisation, while promised productivity gains

or more," says Rao.

"Post-bubble phases tend to produce stronger platforms and clearer winners," says Vasu. "The focus moves from model size to efficiency, and from hype-driven use cases to measurable business value."

India may be better insulated than many markets. While the US and China are seeing massive supply-side bets on models and infrastructure, India's AI adoption is largely demand-driven. According to UearthInsight estimates, India's total technology spend in 2025 was around \$58 billion, of which roughly \$8 billion—or 14%—was for AI. Generative AI still accounts for just 3% of that AI spend, reflecting an early adoption phase.

The central government has earmarked about \$1.3 billion for AI initiatives, with state governments collectively committing close to \$1 billion more. Overall, the spends are growing, but are still modest. Yet 2026 looks set as the defining year for India's AI journey—testing the tech services outsourcing model, laying out India's AI plan and riding through any boom-bust cycle. **BT**